THE BANK OF MADRAS

The Bank of Madras commenced business on July 1, 1843. The move of the leading European merchants of Madras to set up a semi-government bank on the lines of the other two Presidency Banks was largely opportunism on the part of the local agency houses to 'stake a claim in the new gold mine of government-backed private banking.'[24] Its replacement of the Government Bank in Madras was not justified by any proven incompetence of that institution; the Government Bank was far from being a moribund institution. Nor was it the result of expanding trade as was the case in Bombay. In fact the external trade of Madras had been stagnating for two decades before 1840. The merchants wanted to take advantage of the favourable attitude towards private enterprise in London and also forestall any other institution from setting up business in Madras.

A provisional committee for setting up the bank was formed by the European residents of Madras and a meeting was held in May 1840. It was decided that the Government Bank would be extended with a capital of ₹30 lakhs in shares of ₹1,000 each with the government holding 300 or one-tenth of the shares. A list of subscribers was also announced at the same meeting. It took more than a year for the Court of Directors of the East India Company to formally approve the proposal of the provisional committee. The maximum interest of a shareholder could not exceed ₹50,000 and the maximum vote given to any individual proprietor was four. The Act of the Bank of Madras closely resembled those of the other Presidency Banks but with a few differences. There was a move to reduce the capital of the bank to ₹20 lakhs as this figure was considered sufficient for the needs of the Presidency. The request was forwarded to the Court of Directors but it was turned down. In any case, ₹46 lakhs had already been subscribed by way of ₹1,000 shares. As with the other two banks, three government Directors were nominated and six proprietary Directors were to be elected.

The Act for incorporating the Bank of Madras was closely modelled on the Acts of 1839 and 1840 for incorporating the banks of Bengal and Bombay. The difference arose from the relative smallness of the capital and the need to lay down an explicit procedure for the winding up of the Government Bank. The limit on the total value of note circulation was put